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Alfred Marshall and the Cambridge School

Econ 304

**Alfred Marshall
and the Cambridge
School**

His life, his influence on Cambridge, his economics, The Principles of Economics, The Marginal Revolution Redux – the Mirowski Thesis

Alferd Marshall



- Alfred Marshall was one of the greatest economists of his generation. He was the founder of the neoclassical school and was the first economist to rename political economy as economics.
- He is the one who gave value to the study of human wants and expenditure. His Principles of Economics is a masterly description and a modern adaptation of old ideas. He was the founder of the “Cambridge” school of Neoclassicism and author of most winning book, Principles of Economics (1890).

Early Years

- Alfred Marshall was born at Clapham in London in 1842, and belonged to a humble background. His father was William Marshall, who worked as a clerk at the Bank of England. Alfred Marshall was educated at Merchant Taylors, a nonresidential private school, and obtained distinction in school, as his records indicate a strong ability and skill for mathematics.
- With the financial support of his uncle, Marshall joined St. John's College at Cambridge University in 1862, to pursue Mathematics. He ended up achieving the second highest score in Cambridge's mathematics exam in 1865.
- After a short period as a substitute teacher in Bristol, Marshall was elected as an associate of St John's at the end of 1865. Marshall spent some years as a tutor, and was finally selected as lecturer in moral sciences at St. John's in 1868. His intellectual comfort shifted during this period. He moved from mathematics and grew fascinated in moral beliefs and ethics, then metaphysics, and finally altered towards economics

- Overwork and ill-health provoked Marshall to resign from Bristol in 1880. The couple then stayed for a short period in continental Europe, to help Marshall recover. It was here that Marshall began writing the Principles of Economics, in 1882, which later become his most famous work.
- The Marshalls returned to England and taught at Bristol for a year again. In 1883, Alfred Marshall was hurriedly appointed to replace the late Alfred Toynbee at Balliol College, Oxford. He remained at Oxford for two years.
- He was elected as Professor of Political Economy at Cambridge University Classical School-II in 1885 on the death of Henry Fawcett. From this position, Marshall supervised Cambridge economics for the next two decades. Marshall helped design Balliol House, where they moved in 1886.
- Marshall gave indication to parliamentary commissions for Depression of Trade in 1886, Gold and Silver in 1887, Aged Poor in 1893, Local Finance in 1897 and Indian Currency in 1899. He was the member of the Labour Commission and wrote an important message of economic policy and trade in 1908.

The Principles

- Alfred Marshall's Principles of Economics was published in July, 1890. It was the first book published in Britain with a "net book agreement" - that is, the publisher Macmillan compelled booksellers to agree not to discount book price at retail.
- Marshall was bothered about the poorer students who would not be able to buy the book without discount. But Macmillan declared that without the agreement, the publishers' price would be much higher. In the end, it was agreed that Principles of Economics will be sold at a fixed price of 12s 6d.
- The title page contained his famous saying, that "Nature does not make jumps" and Marshall visualized this to be simply the theoretical part that it would be tagged along by other volumes applying the theory to specific topics - foreign trade, money and banking, business cycles, growth, taxation, regulation, trade unions etc. The Principles was divided into six books.

Definition of Economics

- According to Marshall, economics and political economy are both a study of normal dealing of life. It is on the one side a study of assets and on the other important side, a part of the study of man.
- It deals with the financial aspects of man and not social, political or religious aspect of his life. It describes their regular business of life, which consists of earning and spending money for the fulfilment of their necessities of life such as food, clothing and shelter. According to him, wealth is only a means to well-being. Hence he has given chief importance to man and secondary to wealth.

Method

- As far as the method of study of economics is concerned, he considered induction and deduction both as useful characteristics of economics and according to him, both complement each other.
- Both induction and deduction are essential for scientific thought, as the left and right foot are both needed for walking. Marshall was the great paraphraser of the method of partial equilibrium.
- The forces manipulating an economic activity are abundant and it is very challenging to examine all of them to reach at a complete description of the phenomenon.
- Consequently, the best process is to keep other forces constant, and study the forces inducing the phenomenon. Thus all the other forces are reduced to inaction by the phrase “other things being equal”.

Wants and Satisfaction & Utility and Demand

Wants and Satisfaction:

- Marshall evaluates the features of wants and distinguished between necessities, comforts and luxuries. He believed that expenditure as the starting and end of all the economic activities and so he talks about spending first and production afterwards.

Utility and Demand:

- A rational consumer wishes to maximize satisfaction from his consumption. The amount of satisfaction is closely connected to the amount of the goods consumed by the consumer. Marshall has given equal importance to marginal utility with subjective real cost in theory of value.
- Marshall stated that supply and demand both determine the value. Demand is measured by marginal utility, whereas supply is measured by real cost. Marshall equated supply and demand to two blades of a pair of scissors. As per Marshall, the price of a commodity is not determined by supply alone or demand alone but by both demand and supply curve.

Marshall's Theory of Value and Time Element

Marshall's Theory of Value and Time Element Marshall's theory of value lays emphasis on both supply and demand as forces prevailing value, which is recognized as the Dual theory of value.

It is necessary to note down that the hypothesis highlights the role of edge. Price is measured by the services of supply and demand at the edge. It is trivial efficacy and trivial price of manufacture that manage the cost.

Marshall classified value into four kinds: (i) Market place value, (ii) Short term value, (iii) Long term value (iv) Secular value.

The market price of a product may be defined as the cost decision at a particular episode. In the case of market value, the contribution is fixed and price depends primarily on demand.

Law of Diminishing Marginal utility

Demand is based on the law of retreating marginal utility. Marshall confirmed the law thus, “the added benefit which a person obtains from a given boost of the supply of a thing, weaken with every raise in the stock that he already has”. Demand refers to the demand of a commodity at an exact price, other things being the same.

The individual demand curve can be directly taken from rule of diminishing marginal utility. Assuming the marginal utility of money to be constant as the satisfaction from the additional units of a commodity diminishes, the price offered to additional units will fall. Hence the demand curve slopes downwards. These individual demand curves can be summed up together to develop market demand curve. T

he market demand curve symbolizes the sum total of order of all the customers for a product at different prices. On the beginning of retreating utility, Marshall has developed the rule of replacement. Up to now customer actions have been scrutinized with reference to only one commodity. In reality, the consumer has to select between more than one commodities.

A balanced consumer will pay out his money in such a way that his total pleasure is utmost. They will go on replacing one product for another till they get optimum satisfaction.

Elasticity of Demand

Marshall introduced the concept of the “elasticity of demand” to economics. According to him, the elasticity of demand in a Market is great or small as the amount demanded increased more or less for a given fall in price and reduces much or little for a given rise in price.

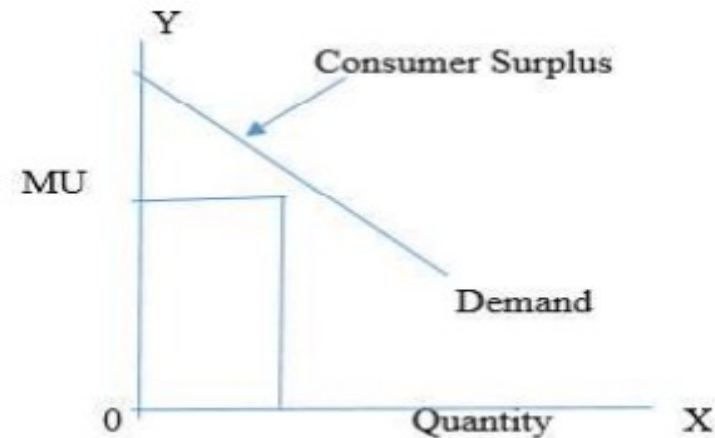
He explains how elasticity differs along the demand curve –declaring it as inelastic at very high and very low prices, and quite elastic at mediator prices.

He also explains the comparative inelasticity of essential goods. He illustrates five degrees of elasticity—perfectly elastic, unitary elastic, greater elastic, less elastic and inelastic. He explained that the demand for luxurious goods was highly elastic, for comforts elastic and for necessities, it is inelastic. Formula to measure

Marshall was the first to define price elasticity of demand. Marshall gave three types of price elasticity—unit, greater than unit and less than unit elasticity. He also listed the factors affecting price elasticity of demand naming price level, nature of commodities, and various uses of commodities, substitute goods, time, taste and preferenc

Consumer Surplus

Marshall introduced the term consumer surplus to economic literature in 1879 “consumers’ surplus”, or as he also called “Consumers’ Rent” he defines the excess of the price which a customer would be willing to pay rather than go without the thing, over that which he actually does pay is the measure of this surplus satisfaction and can be called consumer surplus. Thus the concept of consumer surplus has become the basis of welfare economics



Representative firm

His second version of the Principles came out in June 1891, with the rescheduling some chapters. Among the major changes in the second edition is the introduction of the “representative firm”.

As defined by Marshall, a ‘Representative firm’ has the following characteristics: 1. A representative firm will be an average firm. It has a fair amount of internal and external economics 2. It is neither declining nor increasing. 3. Its management is neither very efficient nor inefficient. 4. It is neither old nor new. 5. It is neither earning super normal profits nor incurring losses. 6. There can be more than one such firm.

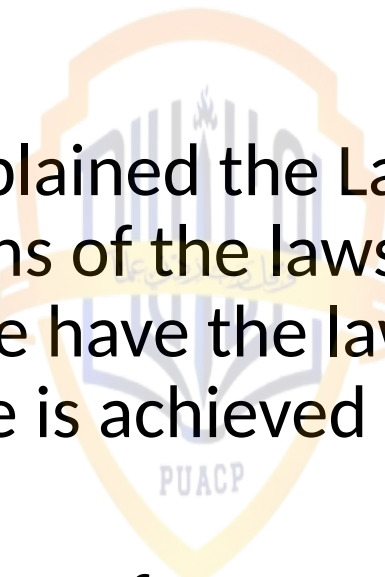
The Principles was not written as a course book or a book on classroom instruction. Marshall brought out his Fundamentals of Economics of Industry in 1892 which was basically a simplified description of the Principles, for young students and the wider public. But it was the Principles that become the major dissertation and brought English Neoclassicism to universities all over the world.

Factors of Production & Division of Labour

- According to Marshall, land and labour are the two leading factors of production. Capital is the subordinate factor of production. Entrepreneur is just a variety of labour. Consequently, land and labour are the major factors of production. Man being active, is the central force behind all activities relating to production and consumption, but nature plays a substantial role as he is shaped by his surroundings and environment.
- Marshall held that enlarged demand for produce and extension of the market lead to division of labour. Division of labour and development of machinery went on collectively. Technology offers numerous rewards viz., avoids repetitiveness and mitigates the strain of muscles. In order to achieve optimum saving in production, each individual should be persistently employed so that the proficiency and capacity may be used in a most excellent way. In short, Marshall identified the significance and the reward of division of labour

Law of Returns

- Alfred Marshall has explained that, “A raise in assets and labour functional in the farming of land causes in general a less than proportionate raise in the amount of manufacture raised, unless it happens to agree with a development in the art of cultivation.” Marshall said that cultivation was subject to the law of diminishing proceeds in the long run and the business division was subject to the law of growing returns.
- As per Marshall, “the division which natural world plays in manufacturing shows an inclination to diminishing returns, the part which man plays shows a tendency to growing return”.
- Marshall acknowledged the Law of Increasing Returns hence “A raise of labour and wealth go ahead usually to better organization which raise the effectiveness of the work of labour and principal.” In manufacturing, a raise in unit of labour and capital would reflect more than proportion raise in manufacture.

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- Marshall explained the Law of Constant Returns in the following way:
“If the actions of the laws of rising and diminishing profits are balanced, we have the law of constant return and an enlarged manufacture is achieved by labour and gives up increased just in section”.
 - From the Laws of Returns, he arrived at a certain policy ending. He indicated that according to the law of increasing returns, industry would yield more economically. But he stated that the difficulty was that it would become a tool of power politics and it might not be put to appropriate use.

Later years

- At Cambridge University, Marshall amplified the importance of economics in the Moral Sciences Tripos and the History Tripos, and later pressed Cambridge to create the separate “Economics and Political Sciences” Tripos. This new tripos was permitted by the university in 1903, and started in 1905. Marshall took retirement in 1908. Against everyone’s expectations, Marshall suggested Arthur Cecil Pigou as his successor as Professor of Political Economy Material at Cambridge rather than Herbert Foxwell.
- After retirement, Marshall set about completing his long-planned companion volume of the philosophy, applying the basic theory to definite areas.
- But due to his illness and other interruptions, progress was slow. His first companion volume, Industry and Trade, came into view in 1919 and the second, Money, Credit and Commerce, in 1923.
- But by this time, Marshall had already prepared a methodical layout of action and it is assumed that the latter volume was in fact paved by Mary Paley and the third volume, on economic progress, never went further than a rough sketch. Marshall died on July 13, 1924

The Marginal Revolution Redux – the Mirowski Thesis

- The Marginal Revolution Redux, as articulated by Philip Mirowski, is a concept that reflects a reinterpretation and reevaluation of the Marginalist Revolution in economics. The Marginalist Revolution, which occurred in the late 19th century, is traditionally credited to three economists: William Stanley Jevons, Carl Menger, and Léon Walras. It marked a significant shift in economic thinking, moving away from the classical labor theory of value towards marginal utility theory.
- Mirowski's thesis, as outlined in his work "More Heat Than Light: Economics as Social Physics, Physics as Nature's Economics" (1989), and further expanded upon in "Machine Dreams: Economics Becomes a Cyborg Science" (2002), challenges the conventional narrative of the Marginalist Revolution.
- According to Mirowski, the Marginalist Revolution was not solely a triumph of pure scientific reasoning and the advancement of economic theory. Instead, he argues that it was deeply intertwined with broader socio-political and intellectual shifts of the time.

Breakdown of the key elements of Mirowski's thesis

- **Intellectual Context:** Mirowski emphasizes the intellectual milieu of the late 19th century, characterized by the rise of positivism and scientism. This period saw a growing belief in the power of scientific methods to solve societal problems and advance human welfare. Economics, influenced by this intellectual climate, sought to establish itself as a scientific discipline akin to physics or biology.
- **Methodological Convergence:** Mirowski argues that the Marginalist Revolution was not a spontaneous emergence of new economic ideas, but rather a convergence of various intellectual currents, including neoclassical economics, thermodynamics, and evolutionary biology. Economists borrowed concepts and methods from these disciplines to give economics a more scientific veneer.

- **Mathematization and Formalization:** A crucial aspect of the Marginalist Revolution, according to Mirowski, was the mathematization and formalization of economic theory. Economists like Walras used mathematical models to describe economic phenomena, mirroring the mathematical precision found in the physical sciences. This formalization aimed to elevate economics to the status of a rigorous science.
- **Social and Political Context:** Mirowski contends that the Marginalist Revolution cannot be divorced from its social and political context. The rise of capitalism and industrialization, along with the emergence of bourgeois ideology, influenced economic thought. Economists sought to justify and rationalize the capitalist system, portraying it as efficient, harmonious, and conducive to human welfare.
- **The Cyborg Science of Economics:** Mirowski's later work, "Machine Dreams," extends his analysis by introducing the concept of economics as a "cyborg science." He argues that economics became entangled with technological metaphors and aspirations, envisioning economic systems as mechanistic and controllable. This view, influenced by cybernetics and information theory, reinforced the idea of economics as a predictive and manipulable science.